

HSU Ke Cheng (Clio) 許可證

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BUSINESS ADDRESS

Department of Economics, 5067 Lee Shau Kee Business Building
The Hong Kong University of Science and Technology, Clear Water Bay, Kowloon, Hong Kong

DESIRED RESEARCH AND TEACHING FIELDS

Industrial Organization Theory, Empirical Industrial Organization
Field of concentration: IO Theory and Empirical IO

EDUCATION

Hong Kong University of Science and Technology

Ph.D. in Economics	2022 – 2027 (expected)
M.Phil. in Economics	2020 – 2022
B.Sc. in Mathematics and Economics (Minor in Actuarial Mathematics)	2015 – 2019

WORKING PAPERS

- “Designing Return Policy in E-Commerce: Ex-ante Purchases and Ex-post Returns” (*Job Market Paper*)
Abstract: Return policy design is central to social welfare, yet its welfare effects are ambiguous when policies jointly shape purchases, prices, and return behavior. Policy effects on social welfare operate through both return discipline and market participation, and the two margins can pull in opposite directions. Strengthening return discipline alone need not raise social welfare: when return rates fall, sellers may raise equilibrium prices and exclude socially efficient purchases. To evaluate alternative return policies, we estimate a structural model of purchase and return decisions using transaction data from a women’s clothing retailer on Taobao that repeatedly switches between retailers’ return shipping insurance (RRSI) and consumers’ return shipping insurance (CRSI). We also simulate return-penalty discount (RPD). Return policy should be tailored to category margins and return-handling costs rather than imposed uniformly.
- “Product Design with Heterogeneous Search Costs”, MPhil thesis, with AU Pak Hung
Abstract: Building on Wolinsky’s (1986) sequential search model with differentiated products, this paper introduces search cost heterogeneity to analyze how firms leverage observable product designs to influence consumer search behavior. In equilibrium, consumers’ search patterns form a partitioned struc-

ture: those with low search costs tend to seek niche products, while consumers facing higher search costs gravitate toward standardized products. In the case of two product designs, a reduction in search costs may lead to higher prices for both if the endogenous shift in consumer search modes—the composition effect—dominates the search-encouraging effect. Additionally, we demonstrate that prices respond asymmetrically to decreases in search costs based on the relative position within the distribution where the shock occurs.

WORK IN PROGRESS

- “Too Much Unsold Stock?: Environmental Consequences of Price Commitment”, with Kohei Kawaguchi and Kei Kawai

PROFESSIONAL EXPERIENCE

Research

Research Assistant for Prof. Benjamin Bernard, National Taiwan University 2020

Teaching

Lecturer, Math Camp for MSc in Economics, HKUST 2026

Teaching Assistant Coordinator, Business School, HKUST 2025 – 2026

Teaching Assistant, Department of Economics, HKUST 2020 – 2025

ECON2123 – Macroeconomics

ECON4114 – Industrial Organization & Competitive Strategy

ECON4134 – Economics of Uncertainty and Information

ECON5210 – Microeconomic Theory I

ECON5220 – Microeconomic Theory II

Presentations (* for scheduled)

APIOC 2026*; 2026 Econometric Society Australasia Meeting (ESAM 2026)*;

HKUST Business School PhD Conference; CEP Brownbag in HKUST;

APIOC 2023; AMES 2023 NTU Singapore

FELLOWSHIPS AND AWARDS

Red Bird PhD Award 2022

Postgraduate Studentship from the HKUST 2020 – present

Research Travel Grant 2020

Academic Achievement Medal 2019

SKILLS

Technical Skills: R, Python, C++, $\LaTeX$, AWS

Languages: English (fluent), Mandarin (native), Cantonese (basic)

REFERENCES (THESIS SUPERVISION COMMITTEE)

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Kei Kawai

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